

Horizon Finance Limited  
Internal Know Your Customer (KYC) Policy  
Version 2026.1  
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#### Section 1 - Purpose and Scope

1. This policy sets out the customer identification, due diligence, and record-keeping requirements applicable to the organization.
2. This policy applies to all employees, agents, and third parties involved in onboarding, servicing, or monitoring customers.
3. The regulated entity shall not establish a business relationship unless the requirements of this policy have been met.

#### Section 2 - Customer Identification

4. The organization shall obtain official identification documents before establishing a business relationship.
  - 4.1 The organization shall collect the customer's legal name, date of birth, residential address, and unique identifier.
  - 4.2 The organization shall verify customer identity using reliable, independent source documents, data, or information.
  - 4.3 For non-individual customers, the organization shall identify and verify beneficial owners holding twenty-five percent or more of the ownership.

#### Section 3 - Customer Due Diligence

5. The organization shall conduct customer due diligence before onboarding and at periodic intervals thereafter.
  - 5.1 Simplified due diligence may be applied only to low-risk customers as classified by the risk assessment process.
  - 5.2 Enhanced due diligence is mandatory for high-risk customers, politically exposed persons, and cross-border transactions.
  - 5.3 The organization shall not complete onboarding if identity cannot be verified or if the customer refuses to provide necessary information.

#### Section 4 - Ongoing Monitoring

6. The organization shall monitor customer transactions on an ongoing basis to ensure they are consistent with the organization's risk profile.

6.1 Unusual or suspicious activity shall be escalated to the Principal Officer within one business day.

6.2 Customer due diligence information shall be reviewed at least once every two years for medium-risk customers.

#### Section 5 - Record Retention

7. The organization shall retain customer identification records, account files, and business correspondence for a minimum of seven years.

7.1 Records must be capable of reconstructing individual transactions to provide evidence for investigations.

7.2 Customer records shall be protected against unauthorized access, modification, or destruction.

#### Section 6 - Data Protection and Security

8. Sensitive customer data at rest and in transit shall be protected using AES-256 encryption.

8.1 Access to KYC records shall be restricted to authorized compliance, operations, and audit personnel.

8.2 The organization shall maintain audit logs of access to customer identification records.

#### Section 7 - Training and Accountability

9. All customer-facing staff shall complete KYC and AML training at least once every twelve months.

9.1 Failure to comply with this policy may result in disciplinary action and regulatory reporting where required.